

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 17-07

PORT ELIZABETH TERMINAL & WAREHOUSE CORP.,
COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY,
RESPONDENT

MEMORANDUM OF LAW IN OPPOSITION TO RESPONDENT'S
MOTION TO DISMISS THE PRAYER FOR DAMAGES AND SECOND AND
THIRD CAUSES OF ACTION OF THE VERIFIED COMPLAINT

TABLE OF CONTENTS

TABLE OF AUTHORITIES	ii
PRELIMINARY STATEMENT.....	1
STATEMENT OF FACTS	1
LEGAL ARGUMENT	7
POINT I	
THE VERIFIED COMPLAINT SATISFIES THE APPLICABLE PLEADING REQUIREMENTS SETS FORTH FACTS SUFFICIENT TO STATE A TIMELY CAUSE OF ACTION FOR THE VIOLATION OF RIGHTS SECURED BY THE SHIPPING ACT.....	7
A. The Shipping Act.....	10
1. Refusal To Deal.....	10
2. Undue Or Unreasonable Preference Or Advantage Or Undue Or Unreasonable Prejudice Or Disadvantage.....	13
POINT II	
THE EXHIBITS SUBMITTED BY RESPONDENT WHICH GO BEYOND THE VERIFIED COMPLAINT MUST BE STRICKEN	17
POINT III	
THE PANYNJ'S CONTENTION THAT THE STAUTE OF LIMITATIONS MANDATES A DISMISSAL AT THE PLEADING STAGE IS WITHOUT MERIT.....	17
CONCLUSION	23

TABLE OF AUTHORITIES

CASES	Page(s)
<i>“50 Mile Container Rules” Implementation by Ocean Common Carriers Serving U.S. Atl. & Gulf Coast Ports</i> , No. 81-11, 1987 WL 209053 (F.M.C. Aug. 3, 1987)	15
<i>Aktieselskabet AF 21. Nov. 2001 v. Fame Jeans Inc.</i> , 525 F.3d 8 (D.C. Cir. 2008)	9
<i>Ashcroft v. Iqbal</i> , 556 U.S. 662 (2009)	8
<i>Bell Atl. Corp. v. Twombly</i> , 550 U.S. 544 (2007)	8
<i>Bethel v. Jendoco Constr. Corp.</i> , 570 F.2d 1168 (3d Cir. 1978).....	18
<i>Braden v. Wal-Mart Stores, Inc.</i> , 558 F.3d 585 (8th Cir. 2009).....	9
<i>Ceres Marine Terminals, Inc. v. Maryland Port Administration</i> , 27 S.R.R. 1251 (F.M.C. 1997) .	22
<i>Cito v. Bridgewater Twp. Police Dep’t</i> , 892 F.2d 23 (3d Cir. 1989)	19
<i>Credit Practices of Sea-Land Serv., Inc.</i> , No. 90-07, 1990 WL 427463 (F.M.C. Dec. 20, 1990)	15
<i>Davis v. Grusemeyer</i> , 996 F.2d 617 (3d Cir. 1993)	19
<i>Doe v. U.S. Dep’t of Justice</i> , 753 F.2d 1092, 1115 (D.C. Cir. 1985)	17
<i>Erickson v. Pardus</i> , 551 U.S. 89 (2007).....	8
<i>Firestone v. Firestone</i> , 76 F.3d 1205 (D.C. Cir. 1996).....	17
<i>Fowler v. UPMC Shadyside</i> , 578 F.3d 203 (3d Cir. 2009)	8
<i>Freight Forwarder Bids on Government Shipments at United States Ports—Possible Violations of the Shipping Act, 1916</i> , 19 F.M.C. 619 (F.M.C. 1977).....	15
<i>Hanna v. U.S. Veterans’ Admin. Hosp.</i> , 514 F.2d 1092 (3d Cir. 1975).....	18
<i>Harborlite Corp. v. ICC</i> , 613 F.2d 1088 (D.C. Cir. 1979)	14
<i>Hedges v. United States</i> , 404 F.3d 744 (3d Cir. 2005)	9
<i>ICC v. Del., Lackawanna & W. R.R. Co.</i> , 220 U.S. 235 (1911)	15

<i>Inlet Fish Prod, Inc. v. Sea-LandServ., Inc.</i> , 29 S.R.R. 306 (F.M.C. 2001).....	20
<i>Krupski v. Crociere S.p.A.</i> , 130 S. Ct. 2485 (2010).....	9
<i>L.T. Barringer & Co. v. United States</i> , 319 U.S. 1 (1943)	14
<i>Maher Terminals, LLC v. FMC</i> , 816 F.3d 888 (D.C. Cir. 2016).....	20
<i>Morse v. Lower Merion Sch. Dist.</i> , 132 F.3d 902 (1997).....	10
<i>N.Y. Shipping Ass’n, Inc. v. FMC</i> , 854 F.2d 1338 (D.C. Cir. 1988).....	14
<i>New York v. United States</i> , 331 U.S. 284 (1947)	14
<i>Oshiver v. Levin, Fishbein, Sedran & Berman</i> , 38 F.3d 1380 (3d Cir. 1994).....	19
<i>Phillips v. Cnty. of Allegheny</i> , 515 F.3d 224 (3d Cir. 2008)	8
<i>Revell v. Port Auth.</i> , 598 F.3d 128 (3d Cir. 2010).....	9
<i>Robinson v. Johnson</i> , 313 F.3d 128 (3d Cir. 2002)	18
<i>Rycoline Prods., Inc. v. C & W Unlimited</i> , 109 F.3d 883 (3d Cir. 1997)	19
<i>Sheridan v. NGK Metals Corp.</i> , 609 F.3d 239 (3d Cir. 2010).....	9
<i>United States v. Ill. Cent. R.R. Co.</i> , 263 U.S. 515 (1924).....	14
<i>Williams v. Murdoch</i> , 330 F.2d 745 (3d Cir. 1964)	18
<i>Wynder v. McMahon</i> , 360 F.3d 73 (2d Cir. 2004).....	9
STATUTES	
41104(8)-(9)	3, 13
46 U.S.C. §§ 41106(2).....	3, 7, 13
ICA, ch. 104, § 3, 24 Stat. 379, 380 (1887).....	14
Shipping Act of 1916, Pub. L. No. 64-159, § 16, 39 Stat. 728, 734 (1916).....	14
Shipping Act of 1984, § 41106(3).....	5, 11
OTHER AUTHORITIES	
50 Fed. Reg. at 38,896.....	16

Fed. Maritime Comm’n, <i>Rates which Exclude Certain Classes of Shippers</i> , 50 Fed. Reg. 38,896, 38,896 (Sept. 25, 1985)	13
---	----

RULES

Fed. R. Civ. P. 8(c)	19
Fed. R. Civ. P. 12(b)(6)	<i>passim</i>

REGULATIONS

46 C.F.R., §502.62 (a) (3)(iii)	19
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PRELIMINARY STATEMENT

Respondent Port Authority of New York and New Jersey brings this Motion to Dismiss approximately five (5) months after the filing of petitioner's Verified Complaint. Notably, the filing of the motion follows petitioner's continued attempts to obtain discovery from respondent on issues of great importance, including the reason or reasons respondent led petitioner to believe it was interested in a proposal by petitioner to increase its footprint and construct new storage facilities while, at the same time, discussing leasing the space occupied by petitioner to PNCT without petitioner's knowledge.

As set forth below, petitioner's Verified Complaint more than satisfies the applicable pleading standard. Further, respondent's motion is largely based on facts outside the Verified Complaint and Certifications which cannot be considered and must be stricken. For these reasons and for the reasons set forth below, respondent's motion must be denied.

STATEMENT OF FACTS

The following facts asserted in the Verified Complaint must be accepted as true for the purpose of the Port Authority of New York and New Jersey's Motion to Dismiss:

IV. Statement of Facts and Matters Complained Of

A. Port Elizabeth Terminal & Warehouse Corp. provides warehousing and other terminal services and facilities to other marine terminal operators and common carriers handling thousands of shipping containers that enter or depart through the Port of New York and New Jersey.

B. Port Elizabeth Terminal & Warehouse Corp. has been a tenant of PANYNJ and doing business in the Port of New York for over forty-two (42) years.

C. Port Elizabeth Terminal & Warehouse Corp. is a public warehouse company and has been operating warehouses in the Port of New York and New Jersey since 1975.

D. The vast majority of Port Elizabeth Terminal & Warehouse Corp.'s customers ship heavy / dense products to and from the United States.

E. Port Elizabeth Terminal & Warehouse Corp. provides a key component of the supply chain for ocean-borne cargo by handling containers loaded to the rated capacity of the containers, typically 58,000 lbs. or roughly 26.3 metric tons, by shippers in order to maximize ocean freight savings.

F. These 58,000 lbs. containers cannot be legally shipped on the United States Highway system so the cargo must be transloaded from the containers to legal highway weights.

G. The 58,000 lbs. containers can legally be transported via the Port's Marine Terminal Highways with their significantly higher gross vehicle weights to Port Elizabeth Terminal & Warehouse Corp. warehouses in Port Newark and off-loaded and legally transported Port Elizabeth Terminal & Warehouse Corp. and transloaded on-terminal and prepared to legal off-port highway weights and off-port delivery.

H. During the period of 2010 through 2015 Port Elizabeth Terminal & Warehouse Corp. averaged handling in excess of 50,000 TEU's per year of these types of heavy-loaded import and export containers that require on-terminal transloading.

I. Port Elizabeth Terminal & Warehouse Corp. and PANYNJ have, over these past forty-two (42) years, entered into numerous Leases, agreements and supplements to agreements based upon the parties' needs and to advance the parties' mutual commercial and business interests.

J. Over the past forty-two (42) years, the parties have entered into dozens of agreements and supplements pursuant to an established pattern and practice of working together to facilitate commerce within the port district.

K. On November 1, 2009, PANYNJ entered into an agreement, in writing, designated as Lease No.: LPN-297 (the "Lease Agreement").

L. Pursuant to the Lease Agreement, the PANYNJ, as Lessor, let to Complainant, as lessee, the Premises, which included Building 201 and Building 202 of the Premises.

M. The Lease Agreement as to Building 201 and Building 202 of the Premises commenced on November 1, 2009 with a stated termination date of October 31, 2019.

N. Since November 1, 2009, when PANYNJ entered into Lease No.: LPN-297 Port Elizabeth Terminal & Warehouse Corp., PANYNJ has assured Port Elizabeth Terminal & Warehouse Corp. that, consistent with

the longstanding relationship and clear understanding of the parties, PANYNJ would engage in good faith negotiations with Port Elizabeth Terminal & Warehouse Corp. to provide suitable space at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark.

O. Port Elizabeth Terminal & Warehouse Corp. occupied 138,400 Square Feet of warehouse space 1400 Aruba Street Elizabeth, New Jersey 07201 and, at the PANYNJ's request, vacated the premises on December 31, 2014, purportedly to allow for sprinkler repairs.

P. The warehouse space at 1400 Aruba Street Elizabeth, New Jersey 07201 remains vacant.

Q. On or about March 31, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 312,000 Square Feet of warehouse space at 191 Export Street, 194 Panama Street and 199 Panama Street in Port Newark at the PANYNJ's request to allow for the PNCT Terminal Expansion.

R. On or about November 30, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 91,855 Square Feet of space at 292 Marlin Street at the request of PANYNJ purportedly to create more room for vessel receiving.

S. PANYNJ seeks to have Port Elizabeth Terminal & Warehouse Corp. vacate 312,000 Square Feet of warehouse space at 201 Export Street and 202 Clipper Street to allow for the PNCT Terminal Expansion. [Is the 312,000 square feet the correct number in both Q and S?]

T. Port Elizabeth Terminal & Warehouse Corp. agreed to PANYNJ's requests to vacate warehouse space and incurred millions of dollars in relocation expenses based upon assurances by PANYNJ and the longstanding practice of the parties to negotiate in good faith and reach agreement regarding alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark.

PANYNJ Has Given Undue Or Unreasonable Preference Or Advantage To Other Marine Terminal Operators And Has Imposed An Undue Or Unreasonable Prejudice Or Disadvantage On Port Elizabeth Terminal & Warehouse Corp.

U. The Shipping Act forbids ocean carriers and Marine Terminal Operators (MTOs) (including port authorities) from "giv[ing] any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage" with respect to "any person." 46 U.S.C. §§ 41106(2), 41104(8)-(9).

V. PANYNJ has imposed an undue or unreasonable prejudice or disadvantage on Port Elizabeth Terminal & Warehouse Corp. while unduly favoring other Marine Terminal Operators in the Port of New York and New Jersey.

W. For instance, PANYNJ's agreement with PNCT, agreement L-PN-264 filed with the Commission and designated FMC Agreement No. 201132, violated the foregoing provisions of the Shipping Act by granting and continuing to grant to PNCT unduly and unreasonably more favorable lease terms than provided to Port Elizabeth Terminal & Warehouse Corp. in Lease No.: LPN-297, including but not limited to agreeing to provide PNCT with "added premises" which are leased to Port Elizabeth Terminal & Warehouse Corp.

X. In this regard, Port Elizabeth Terminal & Warehouse Corp. was never provided an opportunity to negotiate for the "added premises" PANYNJ agreed to provide to PNCT notwithstanding the fact that PANYNJ leased property to the Port Elizabeth Terminal & Warehouse Corp.

Y. The agreement between PANYNJ and PNCT, agreement L-PN-264 filed with the Commission and designated FMC Agreement No. 201132, was executed by the PANYNJ in January 2012 and agrees to provide "Phase 3 Development Parcel" no later than October 31, 2017.

Z. The "Phase 3 Development Parcel" described in the PNCT lease is the same premises leased to Port Elizabeth Terminal & Warehouse Corp. in Lease LPN-264 described in Exhibit D-3 of that lease.

AA. Accordingly, at the time PANYNJ executed the PNCT lease in January 2012, it knew Port Elizabeth Terminal & Warehouse Corp. occupied the premises described in the PNCT lease as "Phase 3 Development Parcel" pursuant to a lease and that Port Elizabeth Terminal & Warehouse Corp. sought to negotiate an agreement to finance, construct and operate state of the art warehouse buildings to replace buildings leased by Port Elizabeth Terminal & Warehouse Corp. from the PANYNJ on the so-called "Phase 3 Development Parcel".

BB. Notwithstanding this knowledge, PANYNJ unreasonably refused to deal and negotiate with Port Elizabeth Terminal & Warehouse Corp. regarding the premises.

CC. Thus, the PANYNJ negotiated with PNCT and agreed to provide it with certain so-called "added" premises some of which was occupied by Port Elizabeth Terminal & Warehouse Corp. but at the same time the PANYNJ refused to negotiate with Port Elizabeth Terminal & Warehouse Corp. regarding the so-called "added" premises.

DD. As noted above, certain business of the Port Elizabeth Terminal & Warehouse Corp. is dependent upon use of heavy load vehicles that may

not use the United States Highway system and must use the Marine Terminal Highway system in Port Newark/Elizabeth to accommodate its customers and maintain its business.

EE. By taking property occupied by Port Elizabeth Terminal & Warehouse Corp. and providing it to PNCT, the Port Authority has provided PNCT with an undue advantage and has made it likely that Port Elizabeth Terminal & Warehouse Corp.'s customers will be forced to seek a new marine terminal operator who can provide services formerly provided by Port Elizabeth Terminal & Warehouse Corp. and, accordingly, Port Elizabeth Terminal & Warehouse Corp. will lose business.

FF. There is no valid transportation purpose for the foregoing undue or unreasonable prejudices against Port Elizabeth Terminal & Warehouse Corp. and undue or unreasonable preferences advantaging PNCT or the PANYNJ's refusal to deal with Port Elizabeth Terminal & Warehouse Corp.

GG. If there is a valid transportation purpose, the discriminatory actions of PANYNJ exceed what is necessary to achieve the purpose.

PANYNJ Has Unreasonably Refused To Deal And Negotiate With Port Elizabeth Terminal & Warehouse Corp.

HH. The Shipping Act of 1984, § 41106(3) provides that a marine terminal operator may not "unreasonably refuse to deal or negotiate".

II. Port Elizabeth Terminal & Warehouse Corp. has at all times sought to negotiate with PANYNJ officials regarding its continuing operations at the Port of New York, including at the PANYNJ's Port Newark facility.

JJ. For instance, on or about August 3, 2011, representatives of Port Elizabeth Terminal & Warehouse Corp. met with PANYNJ officials to discuss a proposal submitted on or about July 18, 2011 and to negotiate an agreement to finance, construct and operate state of the art warehouse buildings to replace buildings leased by Port Elizabeth Terminal & Warehouse Corp. from the PANYNJ.

KK. On or about July 18, 2016, Port Elizabeth Terminal & Warehouse Corp. sought to negotiate with PANYNJ regarding the leasing of building at 1400 Aruba Street as alternate space to 201 Export Street or 202 Clipper Street.

LL. As noted above, Port Elizabeth Terminal & Warehouse Corp. had occupied 1400 Aruba Street from March 2010 until December 14, 2014 when PANYNJ requested Port Elizabeth Terminal & Warehouse Corp. to vacate the premises in order to allow for sprinkler repairs.

MM. On or about February 2, 2017, Port Elizabeth Terminal & Warehouse Corp. sought to negotiate with PANYNJ regarding the leasing

of buildings 265, 267 and 268 Export Street as alternate space to 201 Export Street or 202 Clipper Street.

NN. Despite Port Elizabeth Terminal & Warehouse Corp.'s efforts to engage in good faith negotiations, PANYNJ has consistently refused to make any commitments whatsoever regarding its plans for Port Elizabeth Terminal & Warehouse Corp.'s continued operations at Port Newark.

OO. On or about March 15, 2017, Port Elizabeth Terminal & Warehouse Corp. officials met with PANYNJ officials in an attempt to negotiate in good faith at PANYNJ's offices in New York City.

PP. At the PANYNJ's request, on March 17, 2017 Port Elizabeth Terminal & Warehouse Corp. submitted a revised Proposal and emphasized the necessity of negotiating a deal over suitable alternative space and the impact of PANYNJ's failure to engage in good faith negotiations was having on its business.

QQ. On March 27, 2017, PANYNJ sought confidential information regarding Port Elizabeth Terminal & Warehouse Corp.'s customers and volumes which, in good faith, Port Elizabeth Terminal & Warehouse Corp. promptly provided.

RR. On or about March 28, 2017, Port Elizabeth Terminal & Warehouse Corp. officials again met with PANYNJ officials in an attempt to negotiate in good faith at PANYNJ's offices and the following day provided the confidential information regarding Port Elizabeth Terminal & Warehouse Corp.'s customers and volumes.

SS. On April 7, 2017, Port Elizabeth Terminal & Warehouse Corp. requested an update from the PANYNJ.

TT. On April 11, 2017, PANYNJ requested Port Elizabeth Terminal & Warehouse Corp. to provide information regarding the total annual rail volume, in rail cars, for the years 2014-2016.

UU. Notwithstanding the Notice of Termination PANYNJ served upon Port Elizabeth Terminal & Warehouse Corp. seeking to have Building 201 and Building 202 vacated, Port Elizabeth Terminal & Warehouse Corp., on April 21, 2017, requested an update from the PANYNJ regarding its request for suitable alternative space, once again explaining how the lack of progress in negotiations over warehouse space was impacting Port Elizabeth Terminal & Warehouse Corp.'s business.

VV. Without responding to the Port Elizabeth Terminal & Warehouse Corp.'s request of April 21, 2017 and Port Elizabeth Terminal & Warehouse Corp.'s continuing efforts to engage in good faith negotiations, the PANYNJ, on May 4, 2017, filed a Verified Complaint in the Superior Court of New Jersey seeking to evict the Port Elizabeth Terminal & Warehouse Corp. from premises known as Building 201 and Building 202 at Port Newark.

WW. Upon receipt of the Eviction Complaint, the Port Elizabeth Terminal & Warehouse Corp. requested PANYNJ to withdraw its eviction action and engage in good faith negotiations, however, PANYNJ has refused to deal or negotiate.

XX. The PANYNJ's conduct as described above, and as developed further through discovery, constitutes an unreasonable refusal to deal or negotiate.

PANYNJ Has Failed To “Establish, Observe, And Enforce Just And Reasonable Regulations And Practices Relating To Or Connected With Receiving, Handling, Storing, Or Delivering Property” In Violation Of 46 U.S.C. § 41102(c).

YY. The Shipping Act 46 U.S.C. § 41102(c) requires MTOs (including port authorities) to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

ZZ. The PANYNJ has not established, observed, and/or enforced just and reasonable regulations and practices as they pertain to tenants, who receive, handle, store, or deliver property.

AAA. Rather, The PANYNJ's regulations and practices favor Marine Terminal Operators over others based upon non-transportation factors in a way so as to unduly favor certain Marine Terminal Operators based upon status.

V. Violations of the Shipping Act

A. As a result of the foregoing, PANYNJ violated the Shipping Act, 46 U.S.C. §§ 41106(2) and (3) and 41102(c).

[See Verified Complaint, §§ IV; V.]

For the following reasons, Respondent's Motion to Dismiss must be denied.

LEGAL ARGUMENT

POINT I

THE VERIFIED COMPLAINT SATISFIES THE APPLICABLE PLEADING REQUIREMENTS AND SETS FORTH FACTS SUFFICIENT TO STATE A TIMELY CAUSE OF ACTION FOR THE VIOLATION OF RIGHTS SECURED BY THE SHIPPING ACT

The Verified Complaint satisfies the applicable pleading requirements of the

Federal Rules of Civil Procedure and the Supreme Court's explanation of those requirements in *Ashecroft v. Iqbal*, 556 U.S. 662, 678 (2009) and *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007).

In *Iqbal* and *Twombly*, the Supreme Court held that to survive a motion to dismiss at the pleading stage, a plaintiff's claim must only be "plausible." *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 570. The Supreme Court has clearly indicated that plausibility is a lenient standard. It requires nothing more than a "short and plain" statement that "give[s] the defendant fair notice of what the . . . claim is and the grounds upon which it rests." *Erickson v. Pardus*, 551 U.S. 89, 93 (2007) (quoting *Twombly*, 550 U.S. at 555) (internal quotation marks omitted).

A Complaint survives a motion to dismiss if it "suggest[s]" the required elements of plaintiff's claim. *Twombly*, 550 U.S. at 556; *Phillips v. Cnty. of Allegheny*, 515 F.3d 224, 234 (3d Cir. 2008). Plausibility does not depend on any showing of probable or likely success. On the contrary, a claim may proceed even if actual proof is "improbable" and ultimate recovery "unlikely." *Twombly*, 550 U.S. at 556; *see also Iqbal*, 556 U.S. at 696; *Fowler v. UPMC Shadyside*, 578 F.3d 203, 213 (3d Cir. 2009).

In determining whether plaintiff's claim is plausible, the traditional principles favoring non-movants on motions to dismiss apply. Factual allegations must be taken as true and construed in plaintiff's favor. *Iqbal*, 556 U.S. at 678; *Phillips*, 515 F.3d at 233. All reasonable inferences must also be drawn in plaintiff's favor. This was the rule before *Iqbal* and *Twombly* and it is still the rule today. *See Phillips*, 515 F.3d at 231 (holding that

the Supreme Court's plausibility standard did not "undermine [the] principle" that all reasonable inferences must be drawn in plaintiff's favor); *see also Iqbal*, 556 U.S. at 678; *Revell v. Port Auth.*, 598 F.3d 128, 134 (3d Cir. 2010) ("A court confronted with a Rule 12(b)(6) motion . . . must draw all reasonable inferences in favor of the non-movant."); *Sheridan v. NGK Metals Corp.*, 609 F.3d 239, 262 n.27 (3d Cir. 2010).

Every Complaint must be considered as a whole, not piece-by-piece. *See Braden v. Wal-Mart Stores, Inc.*, 558 F.3d 585, 594 (8th Cir. 2009). And courts must focus on what is "pleaded," not on what a plaintiff is able to "prove." *Fowler*, 578 F.3d at 213 (District Court should not conduct an "evidentiary inquiry" at the motion to dismiss stage); *Aktieselskabet AF 21. Nov. 2001 v. Fame Jeans Inc.*, 525 F.3d 8, 17 (D.C. Cir. 2008) (when considering a motion to dismiss under Rule 12(b)(6), "the court must assume 'all the allegations in the complaint are true (even if doubtful in fact),' and the court must give the plaintiff 'the benefit of all reasonable inferences derived from the facts alleged.'" (internal citations omitted); *see also Twombly*, 550 U.S. at 556, 570 (plaintiffs may rely on "discovery" to "reveal evidence" and rejecting a "heightened fact pleading" requirement); *Wynder v. McMahon*, 360 F.3d 73, 78 (2d Cir. 2004) (noting that Rule 8's purpose is to "lower the entry barrier for federal plaintiffs," to facilitate resolution of cases on their merits, rather than on the basis of technical pleading requirements); *Krupski v. Crociere S.p.A.*, 130 S. Ct. 2485, 2494 (2010) (federal rules express a preference "for resolving disputes on their merits"). It is the defendant that bears the ultimate burden of showing that no claim has been stated. *See Hedges v. United States*, 404 F.3d 744, 750 (3d Cir. 2005).

With these principles in mind, it is clear that defendants have not met their burden and plaintiff has pled facts that establish plausible claims as to defendant. The detailed factual allegations in plaintiff's Complaint are fact rich and not the sort of "bald allegations" or "legal conclusions" that are properly dismissed at the pleading stage. *Morse v. Lower Merion Sch. Dist.*, 132 F.3d 902, 906 (1997). Plaintiff's Complaint contains exactly the type of supporting factual allegations that must be accepted as true under *Iqbal*. See 556 U.S. at 678.

A. The Shipping Act

The scope of the Federal Maritime Commission's jurisdiction is set forth in the 1984 Act. Section 11(a) directs that "[a]ny person may file with the Commission a sworn complaint alleging a violation of this Act."

PANYNJ is subject to FMC regulation under the Act as a marine terminal operator, defined in section 3(15) as a "person engaged in the United States in the business of furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier." As a marine terminal operator, the PANYNJ has a statutory obligation to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property," under section 10(d)(1), and to refrain from undue or unreasonable preference, prejudice, or refusal to deal, under sections 10(d)(3), (b)(11), and (b)(12).

1. Refusal To Deal

The Shipping Act of 1984, § 41106(3) provides that a marine terminal operator may not unreasonably refuse to deal or negotiate.” (Emphasis added).

In this case, the PANYNJ unilaterally cut off negotiations and, therefore, the PANYNJ has unreasonably refused to deal and negotiate with Port Elizabeth Terminal & Warehouse Corp.:

HH. The Shipping Act of 1984, § 41106(3) provides that a marine terminal operator may not “unreasonably refuse to deal or negotiate”.

II. Port Elizabeth Terminal & Warehouse Corp. has at all times sought to negotiate with PANYNJ officials regarding its continuing operations at the Port of New York, including at the PANYNJ’s Port Newark facility.

JJ. For instance, on or about August 3, 2011, representatives of Port Elizabeth Terminal & Warehouse Corp. met with PANYNJ officials to discuss a proposal submitted on or about July 18, 2011 and to negotiate an agreement to finance, construct and operate state of the art warehouse buildings to replace buildings leased by Port Elizabeth Terminal & Warehouse Corp. from the PANYNJ.

KK. On or about July 18, 2016, Port Elizabeth Terminal & Warehouse Corp. sought to negotiate with PANYNJ regarding the leasing of building at 1400 Aruba Street as alternate space to 201 Export Street or 202 Clipper Street.

LL. As noted above, Port Elizabeth Terminal & Warehouse Corp. had occupied 1400 Aruba Street from March 2010 until December 14, 2014 when PANYNJ requested Port Elizabeth Terminal & Warehouse Corp. to vacate the premises in order to allow for sprinkler repairs.

MM. On or about February 2, 2017, Port Elizabeth Terminal & Warehouse Corp. sought to negotiate with PANYNJ regarding the leasing of buildings 265, 267 and 268 Export Street as alternate space to 201 Export Street or 202 Clipper Street.

NN. Despite Port Elizabeth Terminal & Warehouse Corp.’s efforts to engage in good faith negotiations, PANYNJ has consistently refused to make any commitments whatsoever regarding its plans for Port Elizabeth Terminal & Warehouse Corp.’s continued operations at Port Newark.

OO. On or about March 15, 2017, Port Elizabeth Terminal & Warehouse Corp. officials met with PANYNJ officials in an attempt to negotiate in good faith.

PP. At the PANYNJ’s request, on March 17, 2017 Port Elizabeth Terminal & Warehouse Corp. submitted a revised Proposal and

emphasized the necessity of negotiating a deal over suitable alternative space and the impact of PANYNJ's failure to engage in good faith negotiations was having on its business.

QQ. On March 27, 2017, PANYNJ sought confidential information regarding Port Elizabeth Terminal & Warehouse Corp.'s customers and volumes which, in good faith, Port Elizabeth Terminal & Warehouse Corp. promptly provided.

RR. On or about March 28, 2017, Port Elizabeth Terminal & Warehouse Corp. officials again met with PANYNJ officials in an attempt to negotiate in good faith and the following day provided the confidential information regarding Port Elizabeth Terminal & Warehouse Corp.'s customers and volumes.

SS. On April 7, 2017, Port Elizabeth Terminal & Warehouse Corp. requested an update from the PANYNJ.

TT. On April 11, 2017, PANYNJ requested Port Elizabeth Terminal & Warehouse Corp. to provide information regarding the total annual rail volume, in rail cars, for the years 2014-2016.

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XX. The PANYNJ's conduct as described above, and as developed further through discovery, constitutes an unreasonable refusal to deal or negotiate.

[See Verified Complaint, § IV, ¶¶ HH – XX.]

Thus, the Verified Complaint, which must be accepted as true, establishes the

PANYNJ has violated the Shipping Act by “unreasonably refus[ing] to deal or negotiate” with PET&W in violation of § 41106(3) and the PANYNJ’s motion to dismiss must be denied.

Further, discovery has been served on the PANYNJ for the following which it has refused to provide:

2. Undue Or Unreasonable Preference Or Advantage Or Undue Or Unreasonable Prejudice Or Disadvantage

The Shipping Act forbids ocean carriers and MTOs (including port authorities) from “giv[ing] any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage” with respect to “any person.” 46 U.S.C. §§ 41106(2), 41104(8)-(9). Whether differential treatment qualifies as “undue” or “unreasonable” depends on whether the difference is justified. Not any justification will suffice; the disparity must be based on valid “transportation factors.” This requirement is not controversial. *Ceres Marine Terminals, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251, 1997 FMC Lexis 32, at *90 (F.M.C. 1997); *id.* at 38 (same); *id.* at 20 n.7 (same); *id.* at 27 (Port Authority “has the burden of justifying the difference in treatment based on legitimate transportation factors”; *id.* at 21 (noting that ALJ recognized “[t]he real question . . . was ‘whether the differences in lease terms are . . . based on valid transportation factors’” (citation omitted)); Fed. Maritime Comm’n, *Rates which Exclude Certain Classes of Shippers*, 50 Fed. Reg. 38,896, 38,896 (Sept. 25, 1985) (“The Commission has long held that any distinction between classes of shippers must be made on the basis of valid transportation factors.”). This requirement predates the modern Shipping Act.

The original Shipping Act of 1916, and the Interstate Commerce Act (“ICA”) upon which it was modeled, similarly prohibit “common carrier[s] by water” and “common carrier[s]” from giving “any undue or unreasonable preference” or imposing “any undue or unreasonable prejudice or disadvantage.” *See* Shipping Act of 1916, Pub. L. No. 64-159, § 16, 39 Stat. 728, 734 (1916); ICA, ch. 104, § 3, 24 Stat. 379, 380 (1887). For more than a century, courts have interpreted these identical prohibitions to require the same “transportation factor” nexus. In an early ICA case, the Supreme Court explained that differential treatment among similarly situated commercial parties is not illegal if “justified by the cost of the respective services, by their values, or by other transportation conditions.” *United States v. Ill. Cent. R.R. Co.*, 263 U.S. 515, 524 (1924); *accord New York v. United States*, 331 U.S. 284, 306 (1947); *L.T. Barringer & Co. v. United States*, 319 U.S. 1, 6-7 (1943); *Harborlite Corp. v. ICC*, 613 F.2d 1088, 1091-92 (D.C. Cir. 1979). This D.C. Circuit Court, in interpreting the Shipping Act, has applied the same standard. *N.Y. Shipping Ass’n, Inc. v. FMC*, 854 F.2d 1338, 1376 (D.C. Cir. 1988) (the Act “allow[s] only such discriminations and burdens on shippers as can be justified by transportation conditions”).

Federal courts and agencies have also settled on an understanding of what is, and what is not, a valid “transportation factor.” When a tangible characteristic of a transportation service affects its cost or value, that is a valid transportation factor that can justify differential treatment. *See, e.g., Harborlite Corp.*, 613 F.2d at 1100-01 (“transportation circumstances” were “operating conditions” on transport routes that

affected the cost of shipment); *Credit Practices of Sea-Land Serv., Inc.*, No. 90-07, 1990 WL 427463, at *10 (F.M.C. Dec. 20, 1990) (“transportation factors” were “considerations having to do with the physical movement of cargo,” such as “size, weight, need for refrigeration, [or] special handling”); *Freight Forwarder Bids on Government Shipments at United States Ports—Possible Violations of the Shipping Act, 1916*, 19 F.M.C. 619, 624 (F.M.C. 1977) (AAM-104) (“transportation conditions” were “differences between the amount of work required to handle” one type of shipment versus another).

In contrast, a party’s identity or commercial status—*e.g.*, whether it directly owns the goods being transported, the scope of its business, its affiliation with other companies—are not legitimate “transportation factors.” Such characteristics (at least in the usual course) do not affect the value of the transportation services being offered and are not a valid basis for discrimination. *See, e.g., ICC v. Del., Lackawanna & W. R.R. Co.*, 220 U.S. 235, 252 (1911) (finding discrimination undue because it was based “not upon any difference inhering in the goods or in the cost of the service rendered in transporting them, but upon the mere circumstance that the shipper is or is not the real owner of the goods”); “50 Mile Container Rules” *Implementation by Ocean Common Carriers Serving U.S. Atl. & Gulf Coast Ports*, No. 81-11, 1987 WL 209053, at *65-67 (F.M.C. Aug. 3, 1987) (privileges solely for shippers with “a ‘proprietary interest’ in the cargo” were unlawful because they operated “not on the basis of any Shipping Act transportation circumstances, but solely on the basis of [certain shippers’] identity”); 50 Fed. Reg. at

38,896 (rates may not be based “upon the identity of the shipper,” such as whether it was a Non-Vessel Operating Common Carrier (“NVOCC”))).

In short, a “transportation factor” is a tangible characteristic of the transportation service being regulated or charged; it is not an unrelated commercial attribute of the party seeking or providing the transportation service.

In this regard, the Verified Complaint states:

EE. By taking property occupied by Port Elizabeth Terminal & Warehouse Corp. and providing it to PNCT, the Port Authority has provided PNCT with an undue advantage and has made it likely that Port Elizabeth Terminal & Warehouse Corp.’s customers will be forced to seek a new marine terminal operator who can provide services formerly provided by Port Elizabeth Terminal & Warehouse Corp. and, accordingly, Port Elizabeth Terminal & Warehouse Corp. will lose business.

FF. There is no valid transportation purpose for the foregoing undue or unreasonable prejudices against Port Elizabeth Terminal & Warehouse Corp. and undue or unreasonable preferences advantaging PNCT or the PANYNJ’s refusal to deal with Port Elizabeth Terminal & Warehouse Corp.

GG. If there is a valid transportation purpose, the discriminatory actions of PANYNJ exceed what is necessary to achieve the purpose.

[See Verified Complaint, § IV, ¶¶ EE, FF, GG.]

Thus, the Verified Complaint, which must be accepted as true, establishes the PANYNJ has violated the Shipping Act by “giv[ing] any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage” with respect to PET&W and the PANYNJ’s motion to dismiss must be denied.

POINT II

THE EXHIBITS SUBMITTED BY RESPONDENT WHICH GO BEYOND THE VERIFIED COMPLAINT MUST BE STRICKEN

Even though it is well-settled that in reviewing a Rule 12(b)(6) motion, a court may only consider the facts alleged in the pleadings, Respondent asks the Court to consider Exhibit E through Exhibit R. These documents are, of course, outside of the Complaint and therefore inappropriate for the Court to consider on a Rule 12(b)(6) motion to dismiss even according to defendants' own recitation of the applicable standard. Accordingly, they should not be considered by the Court at this stage and must be stricken.¹

POINT III

THE PANYNJ'S CONTENTION THAT THE STATUTE OF LIMITATIONS MANDATES A DISMISSAL AT THE PLEADING STAGE IS WITHOUT MERIT

A motion to dismiss may be granted on statute of limitations grounds only if apparent from the face of the complaint. *See Doe v. U.S. Dep't of Justice*, 753 F.2d 1092, 1115 (D.C. Cir. 1985); *see also Firestone v. Firestone*, 76 F.3d 1205, 1209 (D.C. Cir. 1996) ("courts should hesitate to dismiss a complaint on statute of limitations grounds based solely on the face of the complaint. [B]ecause statute of limitations issues often

¹ Petitioner conducted the deposition of respondent's corporate representative on January 26, 2017. The representative's testimony corroborated most of the allegations set forth in the Verified Complaint. However, consideration of testimony and exhibits—which inherently involves a weighing of facts—is not appropriate on a motion to dismiss at the pleading stage but on a motion for summary judgment. Accordingly, petitioner will refrain from relying on testimony of respondent's representative in light of the applicable standard.

depend on contested questions of fact, dismissal is appropriate only if the complaint on its face is conclusively time-barred”) (citations omitted).

In *Robinson v. Johnson*, 313 F.3d 128 (3d Cir. 2002), the Third Circuit considered in great detail the circumstances when a district court may hold a claim to be time-barred at the Rule 12(b)(6) stage. The Federal Rules of Civil Procedure require that affirmative defenses be pleaded in the answer. Rule 12(b) states that “[e]very defense . . . shall be asserted in the responsive pleading thereto if one is required, except that the following defenses may at the option of the pleader be made by motion” The defenses listed in Rule 12(b) do not include limitations defenses. Thus, a limitations defense must be raised in the answer, since Rule 12(b) does not permit it to be raised by motion. However, the law permits a limitations defense to be raised by a motion under Rule 12(b)(6), but only if “the time alleged in the statement of a claim shows that the cause of action has not been brought within the statute of limitations.” *Hanna v. U.S. Veterans’ Admin. Hosp.*, 514 F.2d 1092, 1094 (3d Cir. 1975). “If the bar is not apparent on the face of the complaint, then it may not afford the basis for a dismissal of the complaint under Rule 12(b)(6).” *Bethel v. Jendoco Constr. Corp.*, 570 F.2d 1168, 1174 (3d Cir. 1978).

This rule dates back at least to 1948 when the Court recognized in *Hartmann v. Time, Inc.*, 166 F.2d 127, 139 (3d Cir.1947), that affirmative defenses are ordinarily pleaded pursuant to Fed. R. Civ.P. 8(c), but that the defense could be raised in other ways. See also *Williams v. Murdoch*, 330 F.2d 745, 749 (3d Cir. 1964) (affirmative defense of res judicata may be raised by a motion to dismiss or by an answer); *Cito v. Bridgewater*

Twp. Police Dep't, 892 F.2d 23, 25 (3d Cir. 1989) (“When reviewing a Rule 12(b)(6) dismissal on statute of limitations grounds, we must determine whether ‘the time alleged in the statement of a claim shows that the cause of action has not been brought within the statute of limitations.’” (citations omitted)); *Davis v. Grusemeyer*, 996 F.2d 617, 623 (3d Cir. 1993) (quoting *Cito*); *Oshiver v. Levin, Fishbein, Sedran & Berman*, 38 F.3d 1380, 1385 n.1 (3d Cir. 1994) (“While the language of *Fed. R. Civ. P.* 8(c) indicates that a statute of limitations defense cannot be used in the context of *Rule* 12(b)(6) motion to dismiss, an exception is made where the complaint facially shows noncompliance with the limitations period and the affirmative defense clearly appears on the face of the pleading.”); *Rycoline Prods., Inc. v. C & W Unlimited*, 109 F.3d 883, 886 (3d Cir. 1997) (affirmative defense must be apparent on the face of the complaint to be subject to a Rule 12(b)(6) motion to dismiss). *Robinson*, 313 F.3d at 135.

Accrual

46 C.F.R., §502.62 (a) (3)(iii) provides: “A complaint seeking reparation must be filed **within three years after the claim accrues.**” When a claim accrues is a fact driven inquiry that is not amenable to a dismissal on the pleadings. In this regard, the PANYNJ’s brief misleadingly states: “In *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Docket No. 08-03, 2013 WL 9808667 (F.M.C. Jan. 31, 2013), the FMC held that a cause of action based upon 46 U.S.C. § 41106(2), accrued on the date that the second lease agreement was entered into. *Id.* at *7.” The PANYNJ ignores the fact that the Circuit Court of the District of Columbia in reviewing the Commission’s

opinion in the *Maher v. Port Authority of New York and New Jersey* made clear that Maher would at least be “entitled to reparations for the full three-year period” preceding the filing of the complaint, “in the event a violation was found.” *Maher Terminals, LLC v. FMC*, 816 F.3d 888, 890 n.2 (D.C. Cir. 2016). Thus, there is no issue that PET&W, like Maher, would be entitled to the same relief – reparations at least for the three years before filing suit.

Further, under the Commission’s discovery rule, the limitations period begins to run only when the complainant possesses “conclusive information about such a dispute.” *Inlet Fish Prod, Inc. v. Sea-LandServ., Inc.*, 29 S.R.R. 306, 313 (F.M.C. 2001). The Commission adopted the discovery rule favoring “a flexible approach to the accrual of a cause of action” because “a flexible rule permitting the inclusion of complaints that would otherwise be dismissed under a more strict approach would allow the Commission to pass on the legality of allegedly injurious conduct,” whereas a “stricter rule would exonerate certain respondents even if their conduct was unlawful, simply because a potential complainant was unable to identify the existence of its cause of action.” *Id.* at 313. The Commission explained that it is not enough that the complainant had “some suspicion” of the disparity and even possessed documents showing the disparity, or in that case even hath suspicion and documents showing the disparity. To the contrary, under the Shipping Act, the complainant must have “conclusive information” that a third party received unduly preferential treatment in violation of the Shipping Act. *Id.*

This was well within three years of the filing of PET&W's Verified Complaint. As the Verified Complaint states:

N. Since November 1, 2009, when PANYNJ entered into Lease No.: LPN-297 Port Elizabeth Terminal & Warehouse Corp., PANYNJ has assured Port Elizabeth Terminal & Warehouse Corp. that, consistent with the longstanding relationship and clear understanding of the parties, PANYNJ would engage in good faith negotiations with Port Elizabeth Terminal & Warehouse Corp. to provide suitable space at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark.

O. Port Elizabeth Terminal & Warehouse Corp. occupied 138,400 Square Feet of warehouse space 1400 Aruba Street Elizabeth, New Jersey 07201 and, at the PANYNJ's request, vacated the premises on December 31, 2014, purportedly to allow for sprinkler repairs.

P. The warehouse space at 1400 Aruba Street Elizabeth, New Jersey 07201 remains vacant.

Q. On or about March 31, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 312,000 Square Feet of warehouse space at 191 Export Street, 194 Panama Street and 199 Panama Street in Port Newark at the PANYNJ's request to allow for the PNCT Terminal Expansion.

R. On or about November 30, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 91,855 Square Feet of space at 292 Marlin Street at the request of PANYNJ purportedly to create more room for vessel receiving.

....

T. Port Elizabeth Terminal & Warehouse Corp. agreed to PANYNJ's requests to vacate warehouse space and incurred millions of dollars in relocation expenses based upon assurances by PANYNJ and the longstanding practice of the parties to negotiate in good faith and reach agreement regarding alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark.

[See Verified Complaint, § IV, ¶¶ N, O, P, Q, R, T.]

Thus, the above provisions of the Verified Complaint, which must be accepted as true for the purpose of this motion, aver that the PANYNJ led PET&W on with empty promises to provide alternative suitable marine terminal facilities at reasonable rates for

the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark and "conclusive information" about such a dispute was not available to PET&W as a result.

Further, Commission authority plainly permits reparations for continuing violations, as long as Complainant alleges that the matters complained of, if continued in the future, will constitute violations. *Ceres Marine Terminals, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251, 1277 (F.M.C. 1997). The Verified Complaint alleges continuing violations of the Shipping Act:

VI. Injury to Port Elizabeth Terminal & Warehouse Corp.

A. As a result of PANYNJ's aforementioned violations of the Shipping Act, Port Elizabeth Terminal & Warehouse Corp. has sustained and continues to sustain injuries and damages, including but not limited to damages to lost profits, damage to its business interests, higher rents, costs, and other undue and unreasonable payments amounting to a sum of millions of dollars to be determined more precisely at hearing.

[See Verified Complaint, § VI, ¶ A.]

As the above makes clear, defendant's motion to dismiss plaintiff's claims as time-barred when that defense is not clear on the face of plaintiff's complaint must be denied. Further, if defendant's Rule 12(b)(6) motion to dismiss plaintiff's claims as time-barred requires relying on documents that were not attached or referenced to plaintiff's Verified Complaint, the motion must be denied.

In the instant matter, the Verified Complaint, on its face, asserts 1) a continuing violation of the Shipping Act, 2) accrual of claims for Shipping Act violations within

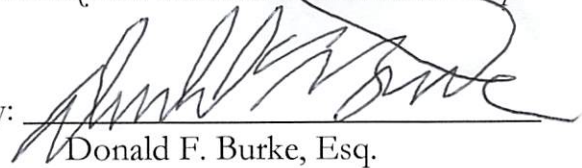
three years of filing the Verified Complaint and 3) course of action by the PANYNJ to mislead PET&W, each of which is sufficient to deny PANYNJ's Motion to Dismiss at the pleading stage.

CONCLUSION

For the foregoing reasons, Complainant requests that respondent's motion to dismiss the Verified Complaint be denied in its entirety and if it is not, Complainant PET&W be given an opportunity to file a First Amended Complaint.

Respectfully submitted,
LAW OFFICE OF DONALD F. BURKE
Attorneys for Complainant
Port Elizabeth Terminal & Warehouse Corp.

By: _____


Donald F. Burke, Esq.

Dated: January 27, 2018

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

**PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT**

v.

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT**

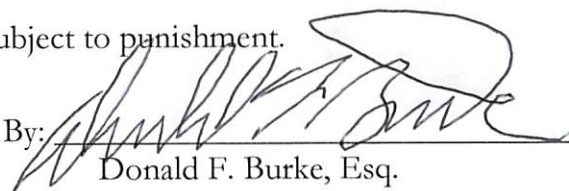
CERTIFICATION OF SERVICE

I, Donald F. Burke, Esq., of full age, do certify as follows:

1. A copy of Complainant Port Elizabeth Terminal & Warehouse Corp.'s Memorandum of Law in Opposition to Respondent's Motion to Dismiss the Prayer for Damages and Second and Third Causes of Action of the Verified Complaint has been served as follows:

Juan Barragan, Esq.
The Port Authority of New York and New Jersey
4 World Trade Center
150 Greenwich Street
New York, New York 10007

I certify that the foregoing statements made by me are true. I am aware that if any of the foregoing statements are willfully false, I am subject to punishment.

By: 

Donald F. Burke, Esq.

Dated: January 27, 2018